

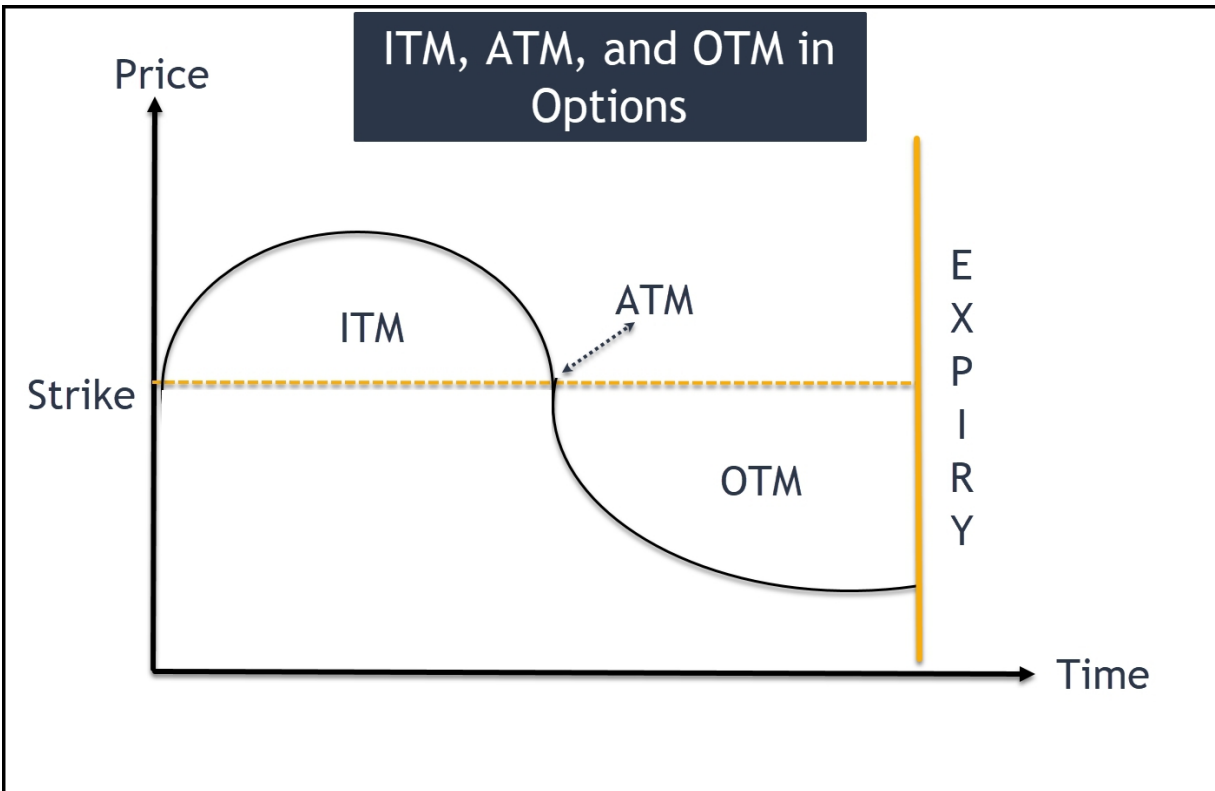


Image 8.2 – ITM, ATM, & OTM Options for Call Option (CE)

ITM option results in positive cash flow to the holder if it is exercised immediately. For Call Options (CE) – when the spot price is higher than the strike price.

ATM option results in zero cash flow to the holder if it is exercised immediately. For Call Options (CE) – when the spot price is equal to the strike price.

OTM option results in negative cash flow to the holder if it is exercised immediately. For Call Options (CE) – when the spot price is lower than the strike price.

Importance of Time Decay in Options

We will explore some powerful options trading strategies in the next chapter. But it is essential to understand how some parameters have a direct co-relation with options premium.

As you know, underlying changes in instrument prices (Delta and Gamma) majorly impact the options premium. The direction and magnitude of the